Policy Economy Australian economy

— Analysis

RBA tempers the doves as it sells its slow and steady strategy

The Reserve Bank's deliberate plan to hold back on big cash rate increases worked as intended. Now its message is that the approach applies on the way down.



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A lot can happen in nine months. When National Australia Bank executive Cathryn Carver introduced Reserve Bank governor Michele Bullock to deliver the annual Anika Foundation address on Thursday, she gave a

Jul 24, 2025 – 6.55pm

snapshot of the world in September last year.

That was the last time the function was held to raise money to address youth depression. Kamala Harris had momentum in her run for the White House, while in Australia, the Albanese government's grip on power looked shaky. The main act, Bullock, was yet to cut interest rates even as her central banking peers were lowering their settings. Australians were still feeling the strains of higher prices as cost-of-living pressures mounted.



RBA governor Michele Bullock with pupils from SCEGGS after making the annual Anika Foundation address on Thursday. **Louie Douvis**

In the market, the 10-year bond rate traded at about 3.9 per cent while the S&P/ASX 200 was below 8000 points. On Thursday, the bond rate was higher at 4.35 per cent, but that has not held back the equity market, which was 9.5 per cent higher at 8700.

Higher long-term interest rates usually translate to lower equity prices, but all sorts

of relationships in markets and the economy are changing. That is forcing investors and economists to work out why.

For Bullock, the relationship between the labour market and inflation is critical given she oversees a central bank with a dual mandate to set policy so that it maximises employment and minimises price instability.

This dual mandate of inflation and employment was the subject of her marquee address. In the long run, the mandates are consistent with one another, she argued. If prices are stable and inflation is contained, households and businesses can plan and invest, setting the foundation for long-term job creation.

But in the short term, central banks know

very well the trade-off is difficult and painful. When prices are rising because demand is too strong relative to supply, central banks have to tighten policy by raising interest rates.

That weakens demand and weighs on the economy, resulting in job losses.

But this time was different. Since inflation peaked in 2022, inflation has fallen by 5 percentage points, but the jobless rate has only increased from 3.5 per cent to a still modest 4.2 per cent in June this year, which is low by historical standards.

'It was a deliberate strategy'

The usually painful trade-off was anything

but. Bullock described this as "remarkable". In each of the past four disinflationary episodes, the job loss casualties were higher. In the early 1980s a 3 per cent increase in unemployment was needed to cool inflation, and in the early 1990s a 5 per cent increase in the jobless rate coincided with a 5 per cent decrease in inflation.

Bullock said the modest cost in terms of jobs was partly because the pandemic-related supply side shocks that drove some prices higher were temporary and abated.

The other reason was that households and businesses were relatively confident that inflation would come down and that reduced the need for more severe tightening.

Bullock admitted that the Reserve Bank can't claim too much credit for this remarkable

outcome. There was no "magic wand" she could wave to smooth the adjustments in the labour market.

But she did embark on a victory lap of sorts. The RBA, she explained, had decided on a strategy of seeking to lower inflation by gradually raising interest rates so that the gains in the jobs market could be preserved.

The trade-off is that Australian households and businesses would have to endure higher prices for a longer period, so fewer jobs would have to be lost.

"It was a deliberate strategy in slowing the economy to make sure that we didn't lose the gains we had, and we've kept employment growing," she said in response to a question from one of the high-school students in attendance.

Few would argue against this strategy now. The landing path was repeatedly described as "narrow". Yet here we are with inflation back to within its target band and a low jobless rate. In comparison, Canada's jobless rate increased from 5 to 7 per cent while New Zealand's rate rose from 3.4 per cent to 5.1 per cent.

At least for now, the Reserve Bank can take a bow and justifiably claim it's achieving its dual mandate, even if it has had plenty of help.

Bullock's next battle

But what comes next? While Bullock had to explain in the past why she would tolerate higher inflation, now her battle is articulating why the cash rate isn't lower.

At the July meeting, the RBA delivered a shock decision by holding the cash rate steady at 3.85 per cent [https://www.afr.com/policy/economy/rba-s-shock-call-to-hold-rates-based-on-jobs-inflation-minutes-20250722-p5mgvy] despite the market pricing in a 95 per cent chance it would be lowered.

Since then, quarterly unemployment data revealed an increase in the jobless rate to 4.3 per cent [https://www.afr.com/policy/economy/jobless-rate-rises-to-4-3pc-cements-rba-rate-cut-20250717-p5mfjj], which once again prompted traders to bank an August rate cut they believed should have happened in July.

But Bullock said the increase in the unemployment rate was in line with the RBA's forecasts and would not have made much of a difference in their decision-

making.

Of more consequence is the quarterly consumer price index data released next Wednesday, which the Reserve Bank will be looking towards for confirmation that inflation will be sustainably within its target band.

We don't quite know how high that quarterly reading needs to be above the RBA's forecast of 2.6 per cent to steer the central bank away from a cut, but for now (and despite the July surprise) the market is convinced it is coming.

In the new Reserve Bank regime, Bullock has limited opportunities to make policy speeches and so the Anika address was eagerly anticipated by economists and traders, most of whom were blindsided by

the July call.

Bullock made it clear that she is not all that fussed about guiding the market. But her message on Thursday is that the RBA intends to stick to its winning strategy of taking a slow and steady approach.

So long as the data lands within or close to its estimates, it probably means two or possibly three interest rate cuts before the end of the year.

Traders at the short end of the money market did not pay too much attention to her comments. The market-implied odds of an August cut did fall slightly but remain close to 100 per cent.

Further out of the bond market yield curve, traders took more notice.

The three-year bond rate nudged up by about 4 basis points from 3.41 per cent to 3.45 per cent as the market contemplated a central bank that was reluctant to lift rates too much, but also to lower them too much.

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